BEFORE THE NATIONAL COMPANY LAW TRIBUNAL

COURT NO. IV, NEW DELHI

CAA-45/ND/2020

CONNECTED WITH

CA (CAA) -18 (ND)/2020

IN THE MATTER OF SECTIONS 230-232 OF THE COMPANIES ACT, 2013

Sections 230-232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements, and Arrangements) Rules, 2016.

In the matter of Scheme of Amalgamation

OF

AAKASHGANGA REALTY PRIVATE LIMITED

(Transferor Company/Applicant Company-1)

AND

FOUR STAR REALTY PRIVATELIMITED

(Transferee Company/ Applicant Company-2)

CORAM:

Dr. DEEPTI MUKESH

HON'BLE MEMBER (JUDICIAL)

SUMITA PURKAYASTHA

HON'BLE MEMBER (TECHNICAL)

MEMO OF PARTIES

AAKASHGANGA REALTY PRIVATE LIMITED

Registered Office at

H-65 Connaught Circus

New Delhi - 110001

...Transferor Company/Applicant Company-1

AND

FOUR STAR REALTY PRIVATE LIMITED

Registered office at

Shiv SushilBhawan

D-219, Vivek Vihar-I

New Delhi-110095

...Transferee Company/ Applicant Company-2

Order delivered on : 07.06.2021

For the Applicant : Mr. Afnan Siddiqui, Adv.

For the RD & OL : Ms.Shankari Mishra, Adv.

For the ITD : MrShlok Chandra, Adv.

Ms.Mansie Jain

O R D E R

PER- SUMITA PURKAYASTHA MEMBER (T)

1. This petition has been filed by the Petitioner Companies under Sections 230 and 232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 and the National Company Law Tribunal Rules, 2016, for the purpose of the approval of the Scheme of Amalgamation of Transferor Company into Transferee Company.

2. From the records, it is seen that the First Motion application was filed before this Tribunal vide CA (CAA)18 (ND) 2020 under Sections 230-232 of the Companies Act, 2013 and vide order dated 25.02.2020 of this Tribunal, the meeting of the Equity Shareholders of the TransferorCompany/Petitioner Company No.1 was dispensed with. The Transferor Company/Petitioner Company No.1 has no Secured Creditors, hence necessity of convening a meeting was obviated. Since the Unsecured Creditors of Transferor Company/ Petitioner Company No.1, has four (4) Unsecured Creditors representing 97% of the total value of the unsecured debt in the Company had given their consents, therefore the meetings were dispensed with. The meeting of the Equity Shareholdersof the Transferee Company/Petitioner Company No.2 was dispensed with. The Transferee Company/Petitioner Company No.2 has no Secured Creditors, hence necessity of convening a meeting was obviated. Since the Unsecured Creditors of Transferee

Company/ Petitioner Company No.2, has thirty seven (37) Unsecured Creditors representing 97.80% of the total value of the unsecured debt in the Company had given their consents, therefore the meetings were dispensed with.

3. Thereafter 2nd motion petition was filed vide CAA -45 (ND)/2020 was filed on 29.02.2020which is in time and vide order dated 24.07.2020 the Petitioners were directed to carry out publication in the newspaper 'Business standard' (English, Delhi Edition) and "Business standard" (Hindi, Delhi Edition) and in addition, notices were directed to be served on to the Regional Director (Northern Region), Ministry of Corporate Affairs, Registrar of Companies, NCT of Delhi and Haryana, the Income Tax Department, Official Liquidator and to the other relevant sectoral regulators.

4. It is seen from the records that the Petitioners have filed an affidavit on 07.09.2020 affirming compliance of the order passed by the tribunal dated 24.07.2020. A perusal of the affidavit disclose that the Petitioners have affected the newspaper publication as directed in one issue of the 'Business Standard' (English Edition) and (HindiEdition) both on 03.07.2020 in relation to the date of hearing of the petition. Further, the Petitioners have also affirmed that the copy of petition have been duly served upon the Registrar of Companies, Regional Director, Northern Region and Income Tax Department, Official Liquidator, in compliance of the order and in proof of the same

acknowledgment from the respective offices have also been placed on record.

5. The Regional Director filed its report dated 09.02.2021 and submitted that as per the report of the Registrar of Companies the filling position of all the petitioner companies are upto date and no prosecution has been filed against the petitioner companies and no investigation is pending. The Regional Director states that as per Clause 32 of the report of the ROC, the following observation are made:

" It has been mentioned in the petition and annexures thereto inter alia that the Transferor Company is wholly owned subsidiary of Transferee Company. In this regard, it is submitted that as per e-form MGT-7 and list of annexures thereto filed by the sad company in MCA21 Registry, the entire shareholding of the said company is held by Shri Uday Kumar Bisnoi (49,999 shares) and Shri VihramVerma (1 share). Therefore, it could not be ascertained as to when these shares have changed hands and the Transferor Company became subsidiary of Transferee Company."

6. The Regional director considering the contentions of the Scheme, reply of the Petitioner companies and the Report of the ROC, NCT of Delhi and Haryana, has observed that:

a. As regard the observations of the ROC, NCT of Delhi and Haryana,

is concerned, it has been reported about the shareholding pattern of the Transferor Company stating that the Transferor Company is not wholly-owned subsidiary (WoS) of the Transferee Company. In this regard, it is to submit that as per the Annual Report made as on 31.03.2019, it has been intimated by the company by filing e-form MGT-7 with the ROC that out of the total 50,0000 equity shares of the Transferor Company, 49,999 (Forty Nine Thousand Nine Hundred and Ninety Nine only) number of equity shares were held by Shri Uday Kumar Bishnoi and I (one) number of share was held by Shri Vikram Venue. The Petitioner Transferor Company vide its reply dated 04.09.2020 has reported that the shareholding pattern as on 31.03.2019 filed with e-form MGT-7 with the ROC is correct, but subsequently, they have changed the shareholding pattern and as on 31.08.2020, the shareholding pattern of the Transferor Company has been shown as under:

S.no	Name and address of the shareholder	No. of % of shares held	% of holding
1.	Four star realty private limited Shiv SushilBhwan D-219 Vivek Vihar-I east delhi 110095	49,999	99.99%
2.	Four star realty private limited (Nominee Mr. Rajeev Lakhara) 61 1st Floor Secror 15-A Noida, UP 201301	01	0.01%
	TOTAL	**50,000**	**100%**

To substantiate the above contention, the Petitioner Transferor Company has submitted the certified copy of the Shareholders Register maintained under Section 88 of the Companies Act, 2013 and it appears that the Scheme is as per the provision of the Companies Act, 2013.

7. The Income Tax Department has filed its report dated 25.11.2020 with respect to the Petitioner Companies wherein no specific objections have been raised against the approval of the scheme.

8. The Petitioner submitted before the Tribunal that the objections raised by ROC and/or RD and/or OL were satisfied in view of the explanation by the Petitioners which was recorded in order date 22.01.2021

"Learned Counsel for the petitioner states that all the responses from the Regulatory Authorities have been received and they have no objection to thescheme. Learned Counsel for the RD states that the explanation from thepetitioners have been received"

9. In the petition it has been affirmed that no proceedings for inspection, inquiry or investigation under the provisions of the Companies Act, 2013 or under the provisions of the Companies Act, 1956 are pending against the Petitioner Companies.

10. Certificates of respective statutory auditors of both the petitioner

companies have been placed on record to the effect that accounting treatment proposed in the Scheme of Amalgamation is in conformity with the accounting standard notified by the Central Government as specified under the provisions of Section 133 of the Companies Act, 2013.

11. In view of the foregoing, upon considering the approval accorded by the members and creditors of the petitioner companies to the proposed scheme, as well as the objections filed by the regional director, northern, the official liquidator, and the income tax department and if any, have been satisfied by the Petitioner Companies, there appears to be no impediment in sanctioning the present scheme. Consequently, sanction is hereby granted to the scheme under section 230 & 232 of the companies act, 2013. The petitioners however remain bound to comply with the statutory requirements in accordance with law.

12. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme, will not come in the way of action being taken, albeit, in accordance with law, against any of the concerned person, director and officials of the petitioners.

13. While approving the scheme as above, we further clarify that this order should not be construed as an order in any way granting

exemption from payment of stamp duty, taxes, GST, or any other charges, if any, and payment in accordance with law or in respect to any permission/ compliance with any other requirement which may be specifically required under any law.

14. **THIS TRIBUNAL ORDERS AS UNDER:**

a) That the transferor company shall stand dissolved without following the process of winding up; and

b) That all the properties, rights and powers of all the transferor company, be transferred without further act or deed, to the transferee company and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013, be transferred to and vest in the transferee company.

c) That all the equity shares of the Transferor Company held by the Transferee Company shall stand cancelled without any further application, act or deed. It is clarified in the scheme that no new shares shall be issued or payment made in cash whatsoever by the Transferee Company in lieu of shares of the Transferor Company as the

Transferor Company is a wholly owned subsidiary of the Transferee Company.

d) That all the liabilities and duties of the transferor company, be transferred without further act or deed, to the transferee company and accordingly the same shall, pursuant to Section 232 of the Act, be transferred to and become the liabilities and duties of the transferee company; and

e) That all proceeding now pending by or against the transferor company, be continued by or against the transferee company; and

f) That all the employees of all the transferor company in service, on the date immediately preceding the date on which the scheme takes effect, i.e., the effective date shall become the employees of the transferee company on such date without any break or interruption in services and upon terms and conditions not less favorable than those subsisting in the respective transferor companies on the said date.

g) That petitioner companies shall within thirty days of

the date of the receipt of this order cause a certified copy of this order to be delivered to the Registrar of Company for registration and on such certified copy being so delivered the transferor companies shall stand dissolved and the Registrar of Company shall place all documents relating to all the transferor company registered with him on the file kept by him in relation to the transferee company and the files relating to all the petitioner companies shall be consolidated accordingly; and

h) That any person interested shall be at liberty to apply to the tribunal in the above matter for any directions that may be necessary.

The petition stands allowed and disposed of in the above terms.

Sd/-	**Sd/-**
SUMITA PURKAYASTHA	**DR. DEEPTI MUKESH**
MEMBER (T)	**MEMBER (J)**